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UPDATE

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Global Macro Commentary | Global

October 10: US-China Trade Tensions

Global rates rally in risk-off rotation as US proposes higher tariffs on China; political uncertainties in Japan; France re-appoints Prime Minister Lecornu; US reportedly begins federal layoffs amid shutdown; potential fiscal concerns in Brazil; DXY at 98.978 (-0.6%); US 10y at 4.034 (-10.5bp).

Global rates rally sharply with a bull-flattening bias in a flight to safety amid rising growth concerns.

Developed Markets

- **US rates rally 9-11bp after President Trump states the US is considering a "massive increase of tariffs on Chinese products"** in response to China's plan to tighten rare earth export controls starting December 1. President Trump proposes cancelling his planned meeting with Chinese President Xi at the APEC Summit, but later clarifies that the meeting may still take place. Treasury yields were already lower prior to the announcement, supported by unwinding reflation trades amid lower-than-expected 1y inflation expectations (4.6%; C: 4.7%) in the UMich consumer survey. The rally accelerates sharply after the announcement as risk assets sell off, supported by thin liquidity ahead of the long weekend. After markets close, President Trump specifies that the tariffs would take effect November 1 at a rate of 100% "over and above" the current tariffs on China. He also announces export controls starting November 1 on critical software and potentially other goods similar to the export controls in place earlier this year.
- **As government shutdown negotiations continue to see limited progress, the US administration moves forward with plans for federal layoffs.** US officials state that "thousands" of workers have been laid off, including from the Treasury and Commerce Departments. The announcement is quickly met with additional legal challenges. The Bureau of Labor Statistics (BLS) announces it will publish the September CPI report, which was nearly complete before the shutdown, on October 24. BLS says no other data will be released before the shutdown ends. Our economists note potential shutdown-related challenges for data quality in future reports about October's economic activity. In addition, unconfirmed media reporting suggests that there are now five remaining candidates being considered for the next Fed chair. One of the candidates, Fed Governor Waller, recounts having a "great interview" for the role.
- **Market participants appear more concerned about the potential growth impacts from tariffs than inflation.** 1y CPI swaps decrease 5bp as investors price for potentially slower growth. Likewise, oil prices fall ~4%, with WTI crude breaking below $60/bbl. The oil-sensitive NOK weakens 0.6% against

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USD. However, CAD holds steady (USD/CAD: -0.1%) as Canadian rates resist (2y: -1bp) the strong US rates rally on the back of stronger-than-expected September employment data, with 60.4k jobs gained (C: 5.0k) and 7.1% unemployment (C: 7.2%), reinforcing our economists' expectation for the BoC to remain on hold in October.

- **Euro area rates rally in sympathy with the US as market participants await President Macron's announcement of the new prime minister, which ultimately results in the re-appointment of Lecornu after local markets close.** The rally begins in the morning as markets price a slightly higher likelihood of ECB rate cuts next year, but the bulk of the move comes after President Trump's announcement. The Oat-Bund spread tightens by ~1.5bp (10y OAT: -4.5bp; 10y: Bund: -6bp) ahead of Prime Minister Lecornu being re-appointed. Lecornu later emphasizes the importance of "repairing public finances" and willingness to debate these issues in parliament.
- **In the Asia session prior to President Trump's announcement, Japanese rates twist-steepen on heightened uncertainty regarding the next prime minister.** Komeito, a political party that formed part of the Liberal Democratic Party's (LDP) ruling coalition, announces that it will not support newly elected LDP leader Takaichi for prime minister. Takaichi's widely expected appointment as prime minister now appears less certain. Long-end JGBs see some selling pressure (30y: +1bp), and we expect ongoing uncertainty around the election outcome to continue weighing on long-end JGBs as overseas investors pull back. For more, see here.
- **The dollar weakens against other safe-haven currencies (USD/JPY: -0.8%; USD/CHF: -0.6%; EUR/USD: +0.4%) as risk sentiment unravels.** As the VIX Index rises 27.5%, the S&P 500 sells off 2.7% led by sectors exposed to potential export controls and trade barriers, including Information Technology (-4.0%) and Consumer Discretionary (-3.3%). The risk-off push spreads across global markets, with European equities also selling off (Euro Stoxx 50: -1.7%). AUD notably underperforms (AUD/USD: -1.3%) as a risk-sensitive currency exposed to demand from China. Gold prices climb 1% on safe-haven demand, once again breaking above $4,000/oz.

Emerging Markets

- **In the Asia session, most AxJ currencies and rates modestly outperform.** As Korean markets reopen after a week-long holiday, rates rally marginally in anticipation of potential measures to cool housing prices, and the confirmation of Korea's inclusion in the FTSE Russell World Government Bond Index (WGBI) over the holiday. KRW initially strengthens amid a rally in local equities (KOSPI: +1.7%), but the move reverses in the New York session after President Trump's announcement, with USD/KRW closing 1.3% higher at ~1,425 given Korea's exposure to China and potential technology export controls.
- **Monetary and fiscal developments drive mixed moves in Southeast Asia.** In Thailand, THB gains 0.4% against USD as gold prices rise, despite BoT Governor Vitai saying THB "should be at an appropriate level" and suggesting that policymakers are assessing measures on online gold transactions. Thai

rates initially sell off after BoT Governor Vitai says the central bank still has policy space to cut rates, but eventually retrace to finish 1bp higher. In Malaysia, rates rally (10y MGS: -2bp) and MYR weakens 0.2% against USD after the government narrows its 2026 fiscal deficit target to 3.5% of GDP (2025: 3.8%).

- **CEEMEA currencies broadly weaken amid potential US tariffs.** South Africa underperforms the region as SARB policymakers reiterate the value of setting a lower inflation goal. USD/ZAR rises 1.7% as local rates bear-steepen (10y: +2bp). In Hungary, HUF weakens 0.3% against EUR higher as Hungarian rates rally (10y: -5bp), with the move supported by safe-haven demand for EUR.
- **LatAm currencies underperform, with Brazil leading losses amid domestic political developments.** In Brazil, the DI curve underperforms amid fiscal uncertainties following President Lula's reported plans for R$100bn expenditures in 2026, as well as potential expansion of the Bolsa Família social welfare program. BRL weakens 2.8% against USD as the long end sells off ~20bp. In Chile, USD/CLP rises 1% as copper prices fall in anticipation of slower global growth and manufacturing. Meanwhile, Mexico's TIIE curve rallies alongside US Treasuries.

Central Bank Monitor

Developed Markets

- **Fed Governor Waller** said that he is open to quarter-point rate cuts at upcoming meetings but emphasized caution in implementing them. He highlighted the weakening labor market as his biggest concern and noted that tariffs will have a one-time impact on prices.
- **St. Louis Fed President Musalem,** a voting FOMC member, stressed the importance of countering persistent inflation despite the shutdown, as there is limited room for further rate cuts before policy becomes overly accommodative. He suggested that tariffs are only responsible for 10% of the current inflation. Musalem noted that stablecoins should function as a payment method, not a savings vehicle.

Emerging Markets

- In **Thailand**, **BoT Governor Vitai** said the central bank is ready to further ease monetary policy if necessary. He noted the impact of previous rate cuts has yet to be fully transmitted, and there are no signs of deflation yet. Vitai reaffirmed the medium-term inflation target of 1-3%. He reiterated that THB should be at an “appropriate level.” He stated that online gold transactions are amplifying THB strength, and authorities are assessing the need for policy measures. He said that the purchase of bad household debt should conclude by October.
- In **Korea**, **BoK** stated that it will continue to closely monitor financial markets for potential risks, including US tariffs, Fed policy, and the financial soundness of major economies. BoK Senior Deputy Governor Ryoo said FTSE Russell’s reaffirmation of KTBs’ inclusion in the WGBI should have a positive

impact on market sentiment.

- In the **Philippines**, **BSP Governor Remolona** sees state spending slowing for the next six months before recovering, which will help boost the economy. He expressed confidence that growth will recover by 2027.
- In **Hungary**, **NBH Governor Varga** said the central bank remains focused on reaching price stability and that currency stability is essential to anchor inflation expectations.
- In **Poland**, **NBP MPC Member Kochalski** said that he "would like to slightly cool down the expectations for further rate reductions in as early as November." While Kochalski "did not see much risk in deciding to cut rates in October, it did significantly limit the scope for further cuts this year."
- In **South Africa**, **SARB Governor Kganyago** said that locking in a lower inflation goal could support a drop in bond yields, providing investors with assurance that future inflation will be under control.

Exhibit 1: G4 Rates Closes (5pm NY)

Tenor	US 10-Oct	US 1d Δ (bp)	US 2wk	Germany 10-Oct	Germany 1d Δ (bp)	Germany 2wk
2y	3.502	(9.1)		1.957	(3.7)	
3y	3.511	(9.7)		2.032	(4.6)	
5y	3.625	(11.1)		2.235	(5.8)	
7y	3.808	(11.1)		2.377	(5.9)	
10y	4.032	(10.6)		2.643	(5.9)	
20y	4.579	(10.7)		3.124	(5.5)	
30y	4.619	(10.3)		3.224	(5.4)	

Tenor	UK 10-Oct	UK 1d Δ (bp)	UK 2wk	Japan 10-Oct	Japan 1d Δ (bp)	Japan 2wk
2y	3.952	(4.7)		0.913	(1.2)	
3y	3.974	(4.8)		1.000	(1.5)	
5y	4.115	(5.8)		1.212	(0.6)	
7y	4.262	(6.6)		1.455	(2.1)	
10y	4.674	(7.0)		1.680	(1.0)	
20y	5.363	(7.3)		2.708	0.1	
30y	5.471	(7.5)		3.186	1.5	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

US TIPS Tenor	10-Oct	1d Δ (bp)	2wk
5y	1.214	(6.6)	
BEI	2.383	(4.6)	
10y	1.708	(7.3)	
BEI	2.322	(3.4)	
30y	2.388	(7.6)	
BEI	2.234	(2.8)	

10y Real Yields, BEI: 10y	10-Oct	1d Δ (bp)	2wk
DBRi	0.668	(4.0)	
BEI	1.762	(2.0)	
UKTi	1.654	(5.7)	
BEI	3.092	(1.3)	
JGBi	-0.004	0.7	
BEI	1.659	(1.5)	

10y Real Yields, BEI: 10y	10-Oct	1d Δ (bp)	2wk
BTPi	1.763	(3.2)	
BEI	1.741	(1.5)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors Spot	10-Oct	1d Δ (%)	2wk
DXY	98.98	(0.6)	
EUR	1.162	0.5	
GBP	1.336	0.4	
JPY	151.19	(1.2)	
CHF	0.800	(0.8)	
AUD	0.647	(1.3)	
CAD	1.401	(0.1)	

EM Spot	10-Oct	1d Δ (%)	2wk
CNH	7.15	0.1	
INR	88.70	(0.1)	
THB	32.72	0.4	
KRW	1425.30	--	
ZAR	17.50	1.7	
MXN	18.59	1.1	
BRL	5.52	2.8	

Equities / Commodities Index	10-Oct	1d Δ (%)	2wk
S&P	6552.51	(2.7)	
Stoxx	5531.32	(1.7)	
FTSE	9427.47	(0.9)	
Nikkei	48088.80	(1.0)	
VIX	21.66	31.8	
Gold (S)	4017.79	1.0	
WTI (Fut)	58.90	(4.2)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS

Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ
EFFR (10/9)	4.100	0.0	--	EONIA (10/9)	1.927	0.0	--
10/29/25	3.852	(1.0)	(24.8)	10/30/25	1.922	0.0	(0.5)
12/10/25	3.611	(4.0)	(48.9)	12/18/25	1.895	(0.9)	(3.2)
01/28/26	3.483	(6.5)	(61.7)	02/05/26	1.874	(1.0)	(5.3)
03/18/26	3.362	(8.7)	(73.8)	03/19/26	1.835	(0.8)	(9.2)
04/29/26	3.290	(9.8)	(81.0)	04/30/26	1.816	(1.9)	(11.1)
06/17/26	3.154	(10.3)	(94.6)	06/11/26	1.788	(2.0)	(13.9)

BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
SONIA (10/9)	3.968	0.0	--	TONAR (10/9)	0.478	0.0	--
11/06/25	3.949	(0.3)	(1.9)	10/30/25	0.521	(1.7)	4.3
12/18/25	3.907	(0.8)	(6.1)	12/19/25	0.615	(1.2)	13.7
02/05/26	3.804	(1.3)	(16.4)	01/23/26	0.679	(0.6)	20.1
03/19/26	3.766	(1.8)	(20.1)				
04/30/26	3.682	(2.4)	(28.6)				
06/18/26	3.661	(3.9)	(30.7)				

Source: Morgan Stanley Research, Bloomberg

The Day Ahead

Developed Markets

- 10:00am BST - **Germany October ZEW Survey Expectations** (MSe: 45.2; C: 41.6; P: 37.3)
- 4:30pm BST - **ECB Governing Council member Makhlouf** will speak in Washington
- 4:40pm BST - **ECB Governing Council member Kocher** will speak in New York
- 5:15pm BST - **ECB Governing Council member Villeroy** will speak in New York
- 12:55pm EST - **Philadelphia Fed President Paulson** will speak at the National Association for Business Economics (NABE)

Emerging Markets

- Mon 8:00am HKT - **Korea First 10 days of October Exports** (P: 3.8% y/y) & **Imports** (P: 11.1% y/y)
- 6:30pm HKT - **India September Headline CPI** (MSe: 1.6% y/y; C: 1.5%; P: 2.1%). Our economists expect headline CPI edged down y/y and sequentially as food prices declined on base effects while fuel and core inflation rose.
- **China September Trade Balance** (MSe: $97.9bn; C: $98.4bn; P: $102.3bn); **Exports** (MSe: 6.0% y/y; C: 6.5%; P: 4.4%) & **Imports** (MSe: 1.0% y/y; C: 1.7%; P: 1.3%). Our economists expect exports likely rebounded on a low base and still resilient non-US demand, offsetting weaker exports to the US, while import growth likely moderated as weaker domestic demand outweighed resilient processing imports

Economic Releases

Developed Markets

- **US October Preliminary UMich Consumer Sentiment:** 55.0 (C:54; P:55.1) **1y Inflation Expectations:** 4.6% (C: 4.7%; P: 4.7%) & **5-10y Inflation Expectations:** 3.7% (C: 3.7%; P: 3.7%). The weakest reading since May. Consumers expect prices to rise at an annual rate of 4.6% over the next year.
- **Canada September Net Employment Change** (C: 5.0k; P: -65.5k) & **Unemployment Rate** (C: 7.2%; P: 7.1%). The gains were led by full-time employment, with largest gains in manufacturing (28k), and healthcare (14k). Our current outlook is for the BoC to stay on hold in October, and this labor market strength after the weak July and August reports could keep the BoC on the sidelines as it estimates the continued effects of trade uncertainty on the economy. Read more

- **Italy August Industrial Production:** -2.4% (MSe: -0.5%; C: -0.2%; P: 0.4%)

Emerging Markets

- **Korea September FX Reserves:** $422.0bn (P: $416.3bn)
- **Malaysia August Industrial Production:** 4.9% y/y (C: 3.4%; P: 4.2%)

For more details, please refer to our economists' weekly reports and data previews:

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- *Japan*
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- Cause and FX Podcast: France and the Euro

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	9/9/2025	10/17/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	9/8/2025	10/14/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	0%	100%	0%	100%	-	-	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	9/10/2025	10/15/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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(as of September 30, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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